INTERNATIONAL STEELS LIMITED

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GROUP 9



Introduction to ISL

History, Ownership and Nature of Business

- Incorporated in 2007 as a subsidiary of International Industries Ltd. for the production of flat steel products as opposed to IIL's pipes manufacturing.
- Commenced commercial operations in 2011, also the year of IPO
- Explosive growth has allowed it to become one of Pakistan's largest flat steel manufacturers.

Today, ISL is 56% owned by IIL, with the Japanese corporation Sumitomo being an affiliate with a 9% stake.

The company sticks to its focus, where it manufactures three grades of rolled flat steel. Its inhouse powerplant also sells any surplus to K-Electric in its Karachi plant, where its headquarters are.

VISION

VISION

"To be the premium manufacturer of flat steel products in Pakistan."

REALIZED?

This is a reasonably grounded conception of the company, and it shows the strategic intent of the firm clearly. ISL is now one of the largest producers of flat steel in Pakistan.

MISSION

MISSION

"To establish our presence in the steel industry by providing superior quality products and reliable services, catering to the customers' needs, at competitive prices; thereby generating value and close partnership."



ACHIEVED ?

The 2020 creation of the service centre allowed International Steel Ltd. to synergize with specific customer needs, and its close cooperation with foreign importers has encouraged them to enter strategic alliances. Their growth in revenues is a good indicator of success in making quality products.

VALUES

Integrity, Diversity, Respect for People, Fairness & Responsibility

Applied?

The company regularly engages in charity, committing 1.5% of its annual profits to educational, healthcare, and social mobility programs. However, at the upper management levels, many of the directors are from the Chinoy family, and it is mostly male, showing that maybe it is not so fair. Overall, these values seem to be more of an **appeal to the heart**, rather than to the **mind**.



ORGANIZATIONAL STRUCTURE



- ISL has 2 manufacturing venues: the **factory**, which includes its power plant and the **Service Centre.**
- **Functional Structure** - Has its head office and 3 sales offices in Lahore, Multan and Islamabad.
- The powerplant and assembly lines for each type of steel also differ within the factory.
- Organized around functions, rather than divisions, despite the different operating circumstances of each location.

CORPORATE SCOPE

Being itself a subsidiary of the Amir S. Chinoy group, ISL naturally has a much narrower scope.

Vertical Integration

- Operates in only in **Stage 2: Intermediate Goods stage** of the industry value chain
- Partial backward integration with onsite powerplant
- Partial forward integration with ISL service center
- Strategic flexibility

Product Diversification

- **Dominant Business** strategy
- Attempt to move to Related-Constrained Diversification

Geographic Diversification

- **International strategy** with exports to global markets
- **Geographic scope** all over major industrial areas of Pakistan in Punjab
- Cooperation with IIL Australia and Kumitomo provides foreign opportunities too



SWOT ANALYSIS

Strengths

- Modern production facilities
- Foreign affiliate investors
- Shared Core Competencies and Economies of Scope with diversification
- High Production Capacity
- Parent Company Capital

Opportunities

- Continously growing demand for steel
- Closer cooperation with Sumitomo corporation for more exports
- Bring IIL and ISL closer through value chain integration



Weakness

- Nepotism (board and management is full of Chinoy family)
- Minimal linkage with parent company activities

Threats

- Lose market share easily due to competitive intensity
- Energy insecurity in Pakistan
- Political instability repels investors and leaves regulations uncertain

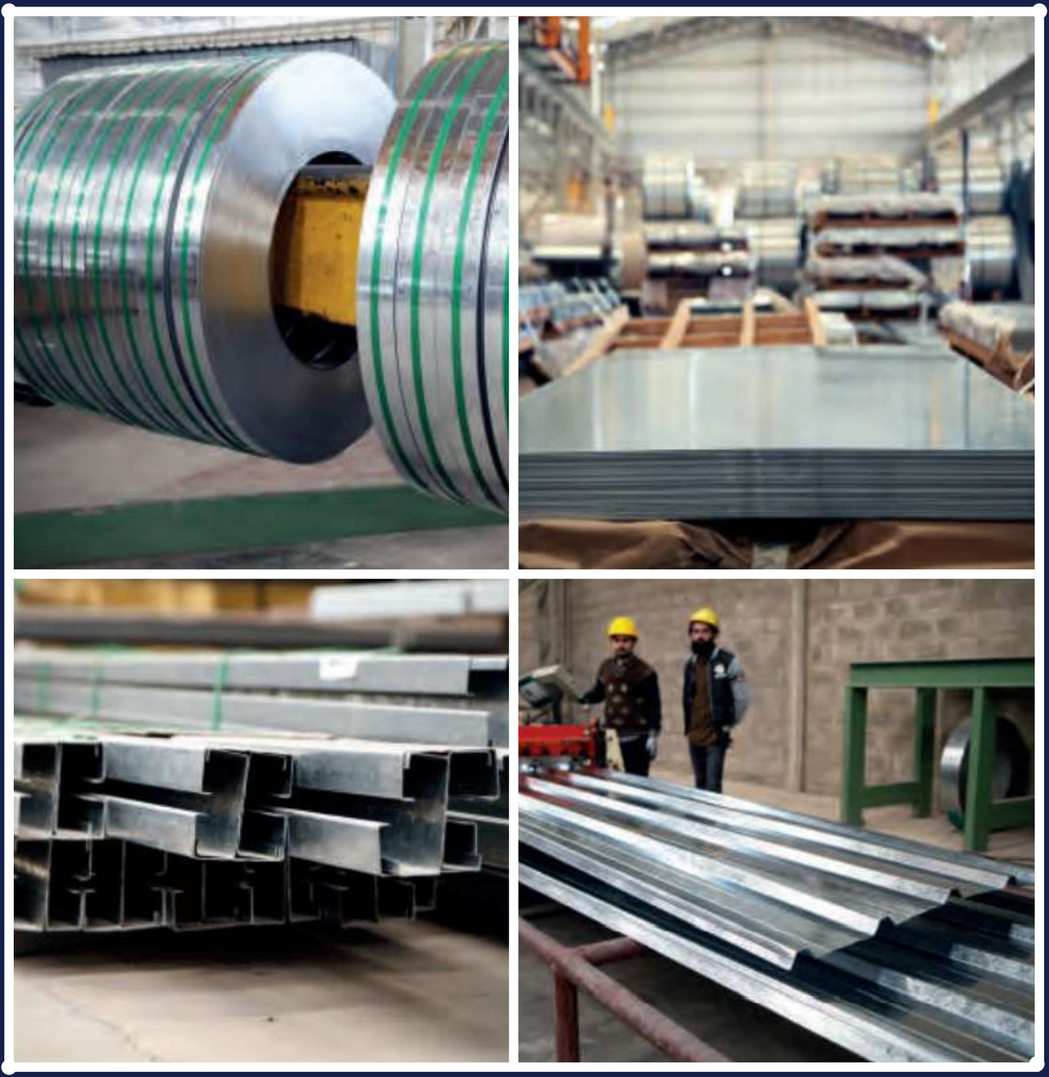
PRODUCT LINES

ISL's product portfolio consists of 3 product lines and a service:

- **Cold Rolled Steel**
- **Hot Dip Galvanized Steel**
- **Color coated Steel**

ISL Service Center

Shapes flat rolled steel into various forms e.g. steel profiles, custom-cut sheets and slitted coils that serve as input factors for industrial and commercial uses.



INDUSTRY VALUE CHAIN



Stage 2: Intermediate Goods

- As per corporate strategy : low degree of vertical integration
- Operates in only in Stage 2 : Intermediate Goods stage of the industry value chain
- Recent attempts at backward integration with its onsite electricity powerplant, and forward integration with its '**ISL Service Center**' that sells processed steel goods
- Strategic flexibility and quality advantages

MAJOR COMPETITORS

- Aisha Steel Mills Limited, Amreli Steel Mills Limited
- Mughal Steel Mills Private Limited, Crescent Steel and Allied Products
- Agha Steel Mills

Regional Network



Global Footprint



BUSINESS STRATEGY

ISL follows a **differentiation strategy** based on **increasing customer perceived value** by providing **high quality products.**

Product Features

- **High quality** flat rolled steel that meets international quality standards.
- **Unique differentiated** product of colour coated steel in 5 different colours

Customer Service

- **Value Added Services** via its service center
- **After Sale Support**
- **Transparency in Pricing**

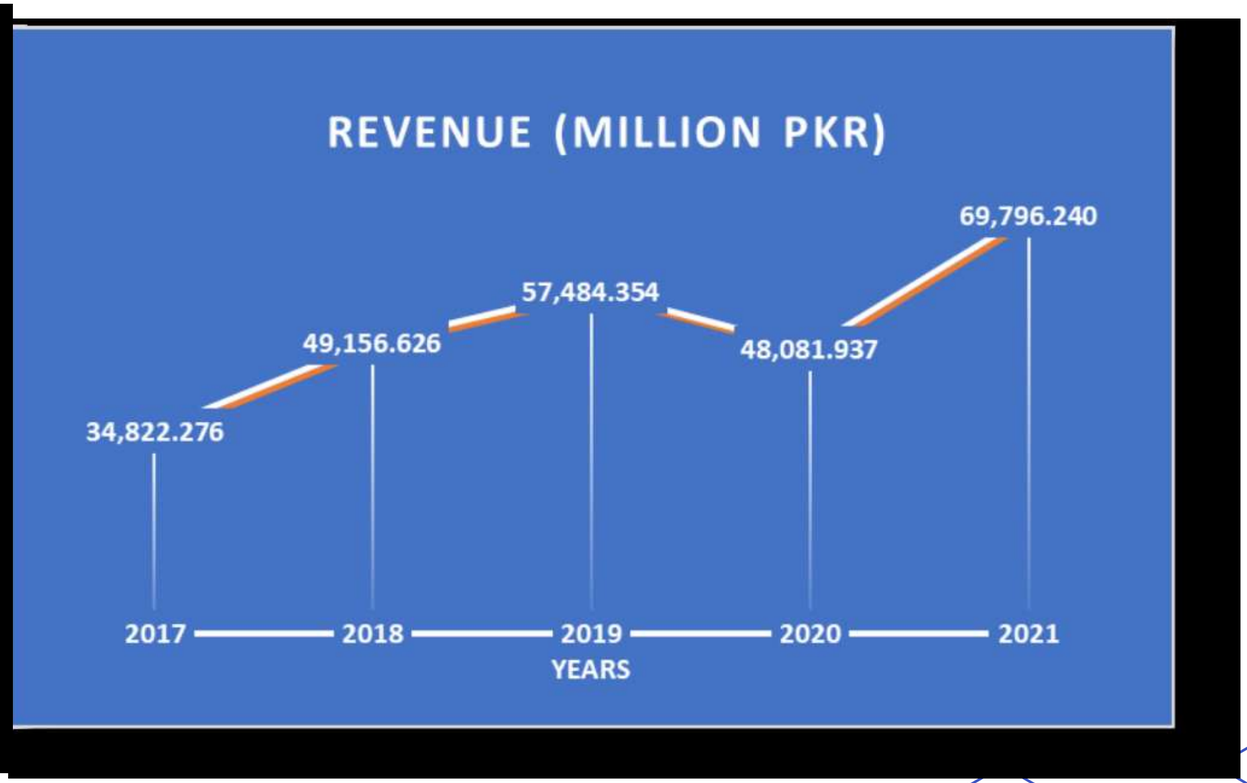
Sustainable Technology

- **Process Innovation**
- **Green, clean** and **lean** production methods
- Emission control, effluent treatment, Acid regeneration plant
- 10 UN GC Principles

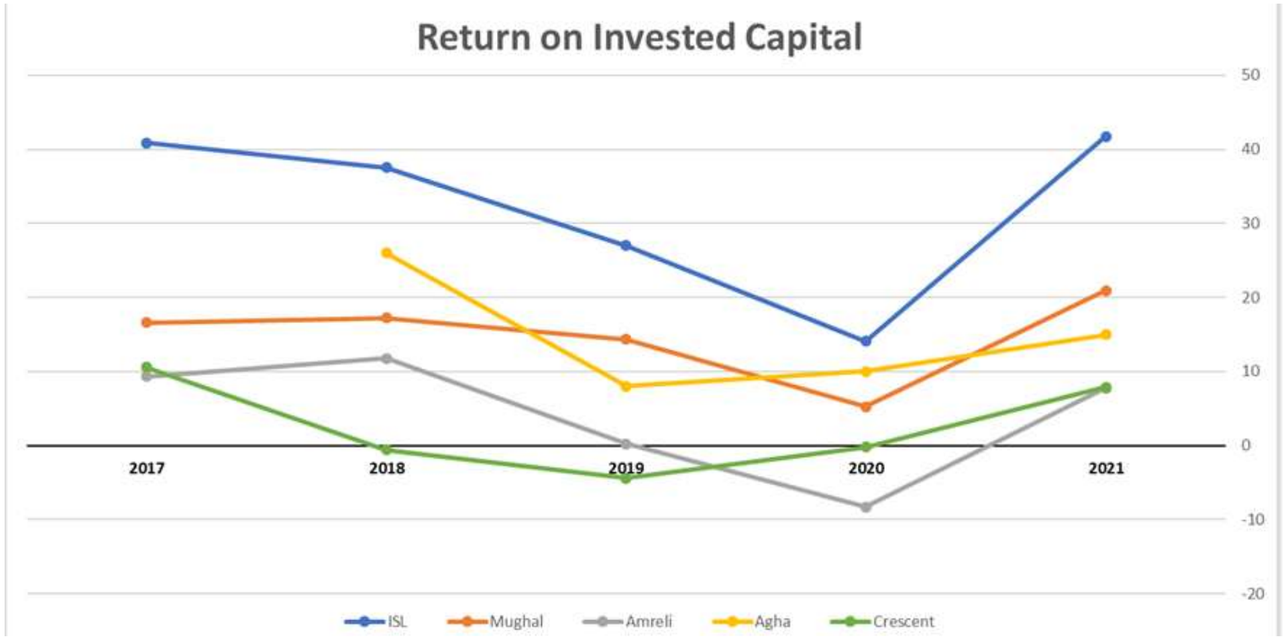


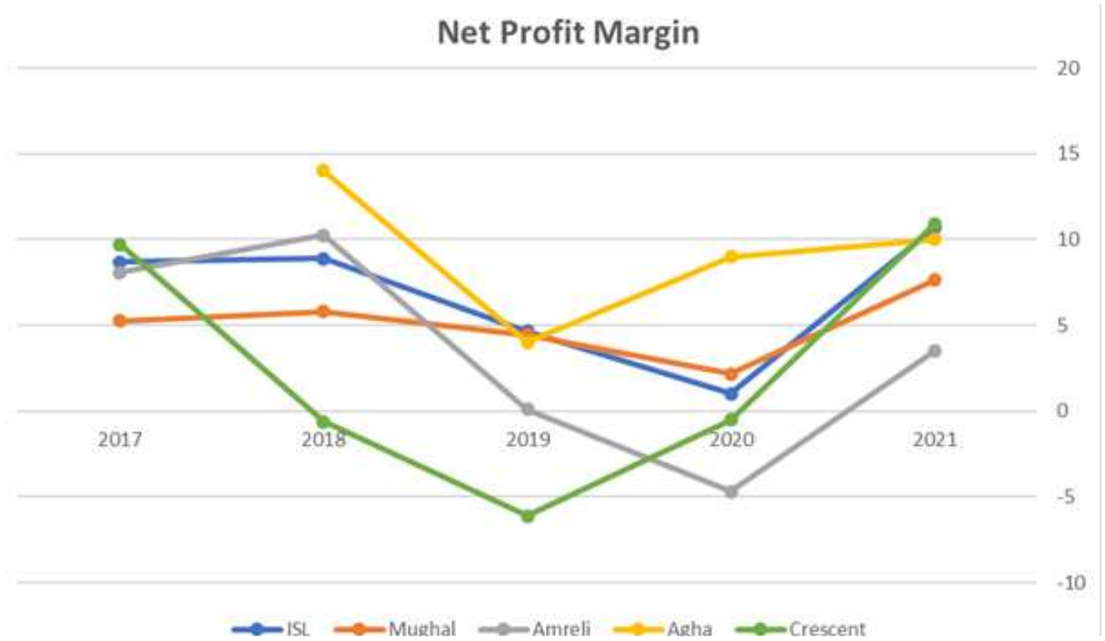
FINANCIAL PERFOMANCE





FINANCIAL PERFOMANCE





RATIO ANALYSIS

Ratio Metric	2021	2020	2019	2018	2017	Industry Average (12 Months)	Industry Average (5 year)
Net Profit Margin	10.7%	1.0%	4.6%	8.9%	8.7%	2.75%	-
Gross Profit Margin	19.3%	8.8%	11.2%	15.4%	17.0%	11.98%	-
Return on Equity	40.0%	3.9%	20.7%	36.9%	35.6%	11.5%	19.6%
Return on Assets	17.9%	1.2%	6.7%	12.3%	11.5%	4.8%	6.7%
Return on Invested Capital	41.8%	14.1%	27.0%	37.6%	40.9%	10.9%	13.0%

INDUSTRY ANALYSIS

OLIGOPOLY STRUCTURE

Few Large Firms

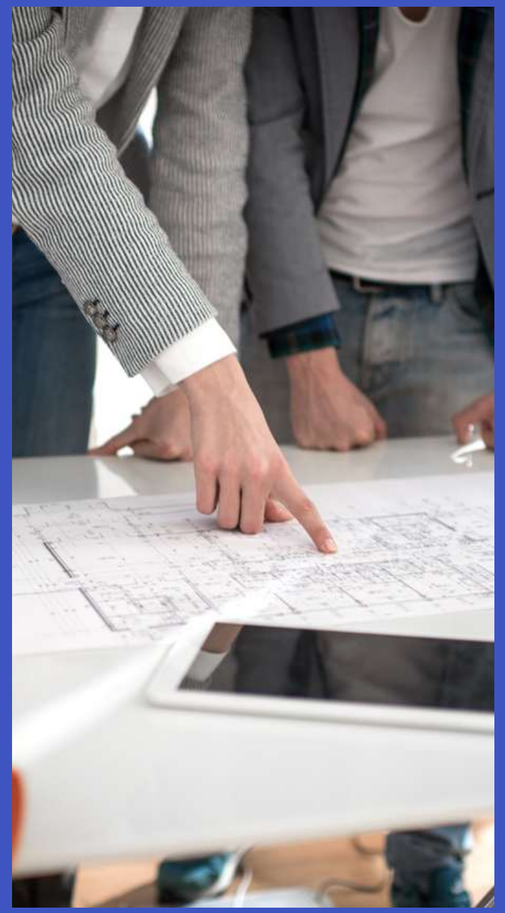
High Competitive Rivalry

INDUSTRY LIFE CYLE

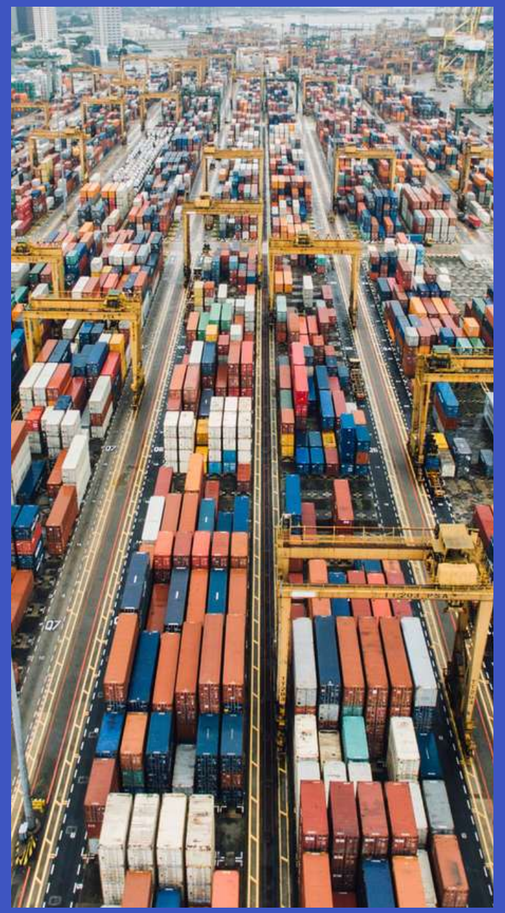
Maturity

Repeat Purchases

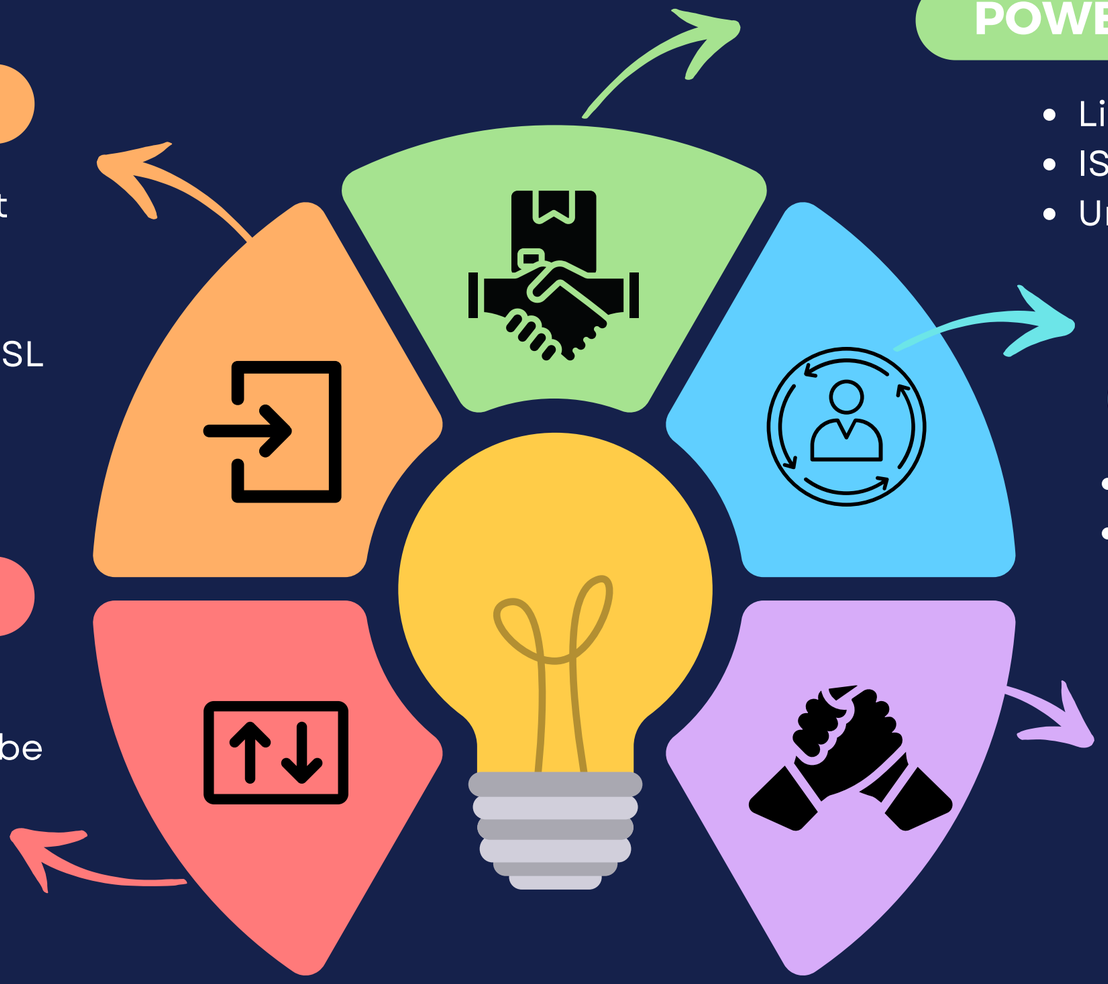
ISL's global footprint







PORTER'S 5 FORCES



LOW

THREAT OF ENTRY

- Significant Capital Investment
- Economies of Scale
- Quality Upsides
- High Customer Switching for ISL

LOW - MODERATE

THREAT OF SUBSTITUTES

- Depends upon Durability
- Plastic, wood, fiber glass can be used
- Threat of Chinese steel and products

MODERATE- HIGH

POWER OF SUPPLIERS

- Limited Number of suppliers - Import
- ISL exports to 30+ countries
- Unlikely to threaten forward Integration

MODERATE- HIGH

POWER OF BUYERS

- Big players i.e. Automobile, Real-estate
- ISL produces differentiated goods and Exports to buyers Internationally

HIGH

COMPETITIVE RIVALRY

- Oligopoly structure
- Similar Needs
- Less Product differentiation
- Exit Barriers

	OPPORTUNITIES	THREATS
P	• Construction of CPEC	• Political Uncertainty
E	• GDP Growth rates	• High Interest Rates
S	• Demographic trends	• Lack of skilled labour
T	• Sustainable technology	• Low technological access/awareness
E	• Eco-friendly technology	• Environmental pollution
L	• Reduction of custom duties	• 17% general sales tax

RECOMMENDATIONS

1 Greater integration in the industry value chain

- Venture into greater backward integration and forward integration
- Economies of scale and scope
- Greater control

2 Product Diversification

- Currently, there is no R&D expense.
- Spend more on R&D to introduce more product lines
- Introduce greater differentiating features
- Venture into related-linked or related constrained diversification

3 Financials

- Dividend Payout ratio too high
- Retain more earnings to invest in diversification

THANK YOU

Any Questions ?